MANAGEMENT AGREEMENT

THIS MANAGEMENT AGREEMENT is made and effective as of the 1st day of January, 2018, by FirstService Residential Minnesota, Inc., a Minnesota corporation ("Agent"), and Summerhill Association, a Minnesota non-profit corporation ("Association").

In consideration of the mutual promises set forth in this Agreement, the Agent and the Association agree as follows:

ARTICLE 1

ENGAGEMENT OF AGENT AND TERM

1.1 Engagement. The Association hereby employs and engages the Agent, and the Agent hereby accepts such engagement and employment, to serve as the Association's manager of the community known as Summerhill Association on the terms and subject to the conditions of this Agreement. The Association appoints Agent to serve as its exclusive managing agent during the term of this Agreement, and Agent accepts the appointment and agrees to perform the services specified herein to the best of its ability in a manner consistent with industry standards and in the best interests of the Association and its members.

1.2 Term. This Agreement is made and effective as of January 1, 2018, for a one-year term ending December 31, 2018. Unless terminated pursuant to the terms of Section 7.2 below, this Agreement shall automatically renew for successive one-year periods unless either the Association or the Agent provides written notice of its intention not to renew this Agreement at least ninety (90) days in advance of the expiration of the current term hereof.

ARTICLE 2

ADMINISTRATIVE SERVICES AND PERSONNEL

Subject to the direction of the Board of Directors, Agent will provide the Association with services relating to the operation and administration of the Association's affairs. These services will be supplied by Agent's employees as provided herein. The services to be supplied include the following:

2.1 Association Communications.

2.1.1 Agent shall assist the Association in maintaining necessary and appropriate communications with its members including, without limitation, notices required by the Governing Documents, information regarding the Association to new members and responses to member inquiries or complaints.

2.1.2 Agent shall communicate to the Association on a regular basis information that is made available to Agent that relates to litigation, insurance matters, correspondence, settlements, work-in-progress, rules and regulations for actions, site conditions, maintenance issues and any other matter or material relating to the affairs or operations of the Association.

2.1.3 Agent shall provide the Board with written inquiries, correspondence and other matters reported to it by members and shall maintain appropriate copies and records thereof consistent with **Exhibit B**.

2.1.4 Agent shall maintain provisions for 24-hour access to the Agent and its service partners for emergency services required to protect the health, safety and physical integrity of the community and its residents. In the event of an emergency, Agent shall report such condition to the Management Liaison or other Director in a timely manner.

2.2 Meetings.

2.2.1 Agent shall attend the annual meeting of the members of the Association and regularly scheduled meetings of the Board of Directors, not to exceed twelve (12) such meetings per year.

2.2.2 Agent shall also attend special meetings of the members and additional meetings of the Board of Directors as requested with reasonable advance notice.

2.2.3 Agent shall attend Board meetings that are scheduled Monday through Thursday, except holidays, and Friday during day time hours with a meeting duration of a maximum of 2 hours.

2.2.4 Agent shall prepare and deliver a meeting packet to all Board members in advance of each regular meeting of the Board, as well as in advance of any special meeting, as requested. The packet shall include (i) an Agenda; (ii) Minutes of the previous meeting; (iii) Financial Statements; (iv) a Management Report; and (v) other information requested by the Board.

2.2.5 Agent shall assist the Association in the annual meeting of the Association and shall prepare all election materials including proxies, ballots and notices.

2.2.6 Agent shall be compensated in accordance with Exhibit A for attendance at meetings of the Board beyond those specified in Section 2.2.1, special meetings of the Association, attendance if requested at weekend meetings, meetings after 9PM, or for meetings in excess of two hours, or if an associate in addition to the Association manager is needed to administer an annual or special meeting.

2.3 Annual Report. Agent shall assist the Association with the preparation of the annual report required by Section 515B.3-106 of the Minnesota Common Interest Ownership Act (the "Act") and the Association's Governing Documents. A draft of the annual report shall be supplied by Agent to the Board of Directors for review upon request. The annual report shall be provided by Agent to each member at or prior to the annual meeting.

2.4 Resale Disclosure Statements. Agent shall prepare and distribute Resale Disclosure Statements, estoppel letters and related Association documents required by Association members,

their agents, appraisers, lenders, title companies and closing agents. Agent shall be paid for the preparation of such statements in accordance with the schedule of fees posted on its document management platform and on **Exhibit A**.

2.5 Distribution of Documents. Agent shall provide members access to the Association's Governing Documents, condensed financial statements and minutes by means of the web portal serving the Association. In addition, Agent shall provide members access to the books and records required to be maintained by Section 515B.3-118 of the Act. Agent shall be paid for copies or scans of such records on the schedule set forth on **Exhibit A**.

2.6 Association Records. Agent shall maintain office records, books and accounts as developed by the Association. The files and records to be maintained by the Agent will include those generated during the term of this Agreement and any documents it is provided that were developed prior to the Agent's tenure. While Agent will put forth every effort to maintain Association records in good order, Agent makes no representation as to the accuracy or completeness of records that were not directly produced or generated by the Agent. The Association shall own and have unrestricted access to all Association records in Agent's possession or that are under its control. In addition to the financial books and records maintained by Agent in accordance with Section 4.7 hereof, Agent shall maintain (a) a current Membership Roster containing the names and addresses of each owner of record; (b) to the extent provided to Agent, the names and addresses of each tenant or other occupant within an owner's unit, written lease and addendum and other information relating to the tenancy; (c) to the extent available, a current record of all garage stall, parking stall and unit licenses or leases; (d) Association Governing Documents, including the Declaration and any amendments, the Bylaws and any amendments, the Articles of Incorporation and any amendments, and Rules and Regulations; (e) insurance policies and certificates; (f) Architectural Control Committee specifications and guidelines; (g) the Association's official Minutes; (h) contracts to which the Association is a party; (i) available inventories of property and equipment owned by the Association; (j) Association licenses and permits; (k) inspection and maintenance records and reports; and (l) individual owner files. All such records and files shall be retained by Agent in accordance with the Records Retention Policy set forth on **Exhibit B** and made a part hereof.

2.7 Rules and Regulations and their Enforcement.

2.7.1 Agent shall assist the Association in adopting, revising, maintaining and enforcing proper Rules and Regulations including architectural control matters.

2.7.2 Agent shall recommend action in the administration and enforcement of the Rules, including infraction hearings, sanctions, fines, and legal action, as directed by the Board in accordance with the Association's policies and procedures and applicable statutes.

2.7.3 Agent may confer with the Association and its counsel respecting the laws and court decisions that may impact the enforcement of the Association's Rules and Regulations, and shall proceed to enforce such Rules and Regulations in accordance therewith.

2.7.4 Agent will receive, file and communicate all written complaints regarding violations of the Rules and Regulations to the Board and to the affected members.

2.8 Employees.

2.8.1 Agent's home office personnel such as its accounting team, insurance coordinator, corporate and administrative staff are employed at its expense and will not be separately charged for except in exceptional circumstances outlined in this Agreement or as otherwise approved by the Board.

2.8.2 Agent shall employ, pay, train, supervise and discharge sufficient personnel to perform the specific services to be supplied to the Association in this Agreement. The Association agrees that it will not interfere unreasonably with Agent or its employees in the performance of its duties.

2.8.3 Agent shall designate one of its employees as the Association Manager. The Association Manager shall be the person primarily responsible for Agent's performance hereunder and shall be the primary contact and liaison between Agent and the Association. The Association Manager shall be assisted and supported by Agent's personnel including the Agent's management team to whom the Association Manager reports and Agent's other support staff.

2.8.4 Should the Association become dissatisfied with the Association Manager, the Association shall provide Agent with written notice specifying the reasons for dissatisfaction and afford Agent thirty (30) days within which to remedy the specified reasons. If the reasons for dissatisfaction are not remedied to the reasonable satisfaction of the Association during this 30-day period, the Association shall notify Agent of its dissatisfaction and Agent shall then replace the Association Manager with another qualified person to fulfill that function.

2.8.5 Any on-site staff shall be provided only in accordance with staffing requirements and compensation schedules approved by the Association in its annual budget and as may be supplemented with the approval of the Board. All such on-site personnel shall be employees of the Agent and not of the Association. Agent will provide such on-site staff to perform the services outlined in this Agreement as follows:

2.8.5.1 All expenses relating to or resulting from the employment of the personnel who are designated by Agent to the performance of this Agreement shall be paid by Agent and reimbursed by the Association as follows:

a. All wages, federal and state withholding taxes, social security taxes, benefits, including 401k match, payroll processing expenses and costs of vacation coverage for site-specific employees shall be passed through to the Association as a direct expense.

b. Premiums for any of Agent's self-insured programs such as worker's compensation or health care shall be charged to the Association at rates published to the Board by November 15 of each year.

c. A fee of 2.5% of gross wages, which may be increased annually during the budgeting process, shall be charged for other payroll-related expenses including, employee liability insurance, employment practices liability insurance, administration of worker's compensation claims, W-2 statements, general training and FirstLine Ethics Hotline.

2.8.5.2 If an on-site office is to be provided by the Association for Agent's use, all expenses associated with the operation of the office shall be paid for by the Association.

2.8.5.3 If such an on-site office is supplied by the Association for Agent's use, the office will be suitable and secure, and furnished with appropriate furniture and equipment, including telephone, copier/scanner/printer, computer with appropriate security software, internet access with a FirstService Residential e-mail account for each associate who requires e-mail, and necessary supplies. The cost of any lease or rental charges for the office space, if any, and the cost of equipment, maintenance and replacement, as well as supplies, shall be borne by the Association. The equipment supplied for the operation of the office shall be suitable for the work to be performed by Agent and in proper working condition.

2.8.5.4 The Association and the Agent acknowledge that, from time to time, the office may be closed for vacation, holidays, sick days, inclement weather, as well as training and educational programs for staff. Agent will provide coverage of the office at the Association's expense for extended sick days or vacation to the extent required to meet Association needs.

2.8.5.5 Where Agent provides employees to operate on site, Agent will fill shifts using other employees who are dedicated to service of the Association and are otherwise available, the cost of whom will be a direct expense to the Association. If Agent is unable, however, to supply such employees to fill shifts, Agent shall either contract for such services with a third party or use other employees of Agent as substitutes, the terms of which are stated in **Exhibit A**. There is, however, no requirement that the Association use Agent's employees to fill such shifts.

2.8.6 Agent shall not be responsible for personnel decisions made as a direct result of Board action or the direction by the Association of Agent's employees.

2.8.7 The Association shall permit Agent's on-site employees to attend up to 40 hours of general training per year off site. Job-specific training and licenses necessary to perform duties shall be at the expense of the Association.

2.8.8 The Association recognizes the importance and value of Agent's employees to its business and agrees to refrain from hiring, directly or indirectly (such as by means of a competing management company), any person who is or was employed by Agent during the term, and for two years following the term, of this Agreement, regardless of the reason for the termination. Agent may grant or withhold its consent to such employment for any reason or for no reason in its sole and subjective judgment. If the Association fails to honor this commitment, Agent may seek such injunctive relief and damages as may be available for the Association's breach, together with its attorneys' fees and costs incurred in pursuing such remedies.

2.8.9 The Association also recognizes that Agent must take reasonable steps to protect its employees from harassment which may include, among other things, protecting its employees against abusive behavior by a resident or a member of the Board of Directors, whether verbal or in writing. If requested by Agent, the Association agrees to take such reasonable steps as may be necessary to assist Agent in stopping the abusive or harassing behavior.

2.9 Association's Management Liaison.

2.9.1 The President of the Association's Board of Directors, or another director designated by the Board, shall be the Management Liaison between the Association and the Agent relating to Agent's performance of this Agreement. Except for direction provided by a resolution of the Board, the Declaration, the Bylaws, the Articles, or the Rules of the Association, the Agent shall accept directions and instructions only from the Management Liaison.

2.9.2 The Agent may operate under directions of a Director other than the Management Liaison during Board meetings, in day-to-day informational communications (as distinguished from directives, instructions or suggestions), on special major projects which can best be handled by designated members of the Board; and in the event of the unavailability of the Management Liaison.

ARTICLE 3

PROPERTY MANAGEMENT

3.1 Maintenance of Common Elements.

3.1.1 Subject to the direction of the Board of Directors and at the expense of the Association, Agent will cause the common areas and facilities of the Association to be maintained in a manner consistent with Association policy, generally-accepted standards of safety and maintenance and maintenance plans approved by the Board and for which funds are allocated in the Association's operating budget and capital replacement plan.

3.1.2 Agent will conduct monthly visits to the property or as mutually agreed to in order to determine its general condition, the general adequacy of the care and maintenance thereof, and its compliance with all of the Association's Rules and Regulations. As authorized and directed by the Board, and in a manner that is consistent with the operating budget, Agent shall negotiate on behalf of the Association contracts for grounds care, landscape maintenance, rubbish removal and such other services as may be necessary and desirable. The Association acknowledges that Agent's personnel are not engineers or mechanical or construction experts; that Agent does not guarantee or warrant the work of any contractors; and that Agent will not perform exhaustive or technical building infrastructure inspections, testing or assessments of the property that are typically performed by third-party engineers or experts. Agent will be entitled to rely on the opinions of experts engaged by the Association for evaluation, repair and maintenance of the common elements and limited common elements and of units owned by the Association or that are subject to insurance claim restoration work.

3.1.3 Agent shall have no authority or obligation with respect to the maintenance or repair of any unit within the property with the exception of emergency property management services or by separate agreement with the Association.

3.1.4 Agent has no authority to make any structural changes in or to the common elements or limited common elements, or to make any other major alterations or additions to any of the Association's properties, except to arrange, to the best of its ability, such emergency repairs as may be required because of danger to life or property which are immediately necessary for the preservation and safety of the Association, its members or occupants.

3.1.5 Agent is not responsible for compliance by the Association with the requirements of any ordinance, law, rule or regulation, including those relating to the use and disposal of solid, liquid or gaseous wastes in compliance with environmental laws, or of any federal, state or local authority, except to notify the Association promptly or to forward to the Association any complaints, warnings, notices or process received by Agent or relating to such matters.

3.1.6 If the Association directs Agent to provide services in units through Agent's on-site personnel, the Association shall be responsible for establishing a procedure for performance of the work, and shall indemnify Agent and its employees against any damage or claims that may be asserted against them relating to the work. The Association acknowledges that an affiliate of Agent, Gittleman Construction and Maintenance Corporation, may be retained by individual unit owners to perform work in their units, all of which is outside the scope of this Agreement and for which the Association has no responsibility whether to the unit owner or to the contractor.

3.2 Contracting by Agent.

3.2.1 Agent shall, subject to the direction and approval of the Association, and subject to the limitations of the Association's budget, solicit, negotiate and make payments pursuant to the approved terms for all contracts for goods or services required by the Association including, without limitation, contracts for water, sewer, electricity, gas, telephone, maintenance of electrical, HVAC and plumbing systems, heat, snow removal, grounds maintenance and landscaping, janitorial services, broadband (including video and internet services), and any other vendors that provide services to the Association.

3.2.2 The Board shall establish the standards, specifications and criteria for work to be solicited by Agent. Agent shall assist the Board in developing specifications for the work. If Agent lacks the technical expertise to assist in developing specifications, the Association shall procure, or shall request Agent to obtain, the assistance of qualified individuals and professionals at Association expense.

3.2.3 To the extent reasonably possible, and except as permitted or directed by the Association, Agent shall solicit competitive bids for all contracts in excess of Two Thousand Five Hundred and 00/100 Dollars ($2,500.00) in the aggregate in any one year.

3.2.4 Subject to the review and approval of the Board of Directors, Agent is authorized to enter into contracts in the name of the Association or in its name on behalf of the Association, and to place orders for such services, equipment, tools, appliances, materials and supplies as are necessary to maintain the buildings and property of the Association. Where permitted by the Association, Agent may arrange for legal counsel to prepare or review the contracts presented to the Association in order to help the Association protect its interests.

3.2.5 Agent will provide the Association with a summary of contractors' bids for the Association's approval and obtain from each contractor certificates of insurance, proof of worker's compensation insurance, licenses and bonding, where required, and lien waivers. The Association also agrees to pay or

reimburse Agent for the cost of vendor certifications obtained from third-party suppliers.

3.2.6 Agent will accept and, when authorized, execute contracts approved by the Association, and the Association hereby grants the Agent the authority to carry out the terms of such contracts on behalf of the Association.

3.2.7 For capital improvement projects which will cost the Association less than Twenty Five Thousand and 00/100 Dollars ($25,000.00), in the aggregate, Agent will assist the Association with the planning, coordination of, and communications on, the project at no additional expense. For any such project that will cost the Association more than Twenty Five Thousand and 00/100 Dollars ($25,000.00), in the aggregate, Agent will, upon request of the Association, provide planning, coordination and communication services for an administrative fee equal to five percent (5%) of the project cost. Notwithstanding any other term or provision herein, Agent does not guaranty or warrant the work performed by contractor on such project.

3.3 Architectural Review Committee.

3.3.1 Agent will coordinate and assist in the administrative and secretarial functions of the Architectural Review Committee ("ARC"), or the Board of Directors, as appropriate, including distribution of completed applications, correspondence to unit owners to request ARC compliance or completion of applications, and correspondence with the ARC or the Board to assist in the performance of its functions.

ARTICLE 4

FINANCIAL MANAGEMENT

Agent shall assist and advise the Association on all matters relating to financial management including the following services:

4.1 Preparation of the Annual Budget. At least 60 days prior to the beginning of each fiscal year, Agent shall prepare and submit to the Board of Directors a recommended operating budget listing anticipated receipts and expenditures for such year. The budget shall be presented with such support and documentation as necessary to explain the assumptions used by Agent in its preparation. The Association acknowledges that the budget represents Agent's good faith estimate of the performance of the Association for the fiscal year in question, and that Agent makes no assurances that the performance of the Association will correspond to such estimates. Agent shall use all reasonable efforts to operate the Association within the approved budget.

4.2 Reserves. Consistent with the requirements of the Act, Agent will assist the Association in obtaining reserve studies approximately every three fiscal years prepared by a certified third-party reserve study analyst. The Association acknowledges that Agent does not employ third-party engineers as part of this management agreement and does not assume responsibility for projection of capital expenditures that are not addressed in reserve studies prepared by experts.

4.3 Depository Accounts. All funds of the Association that are received by the Agent shall be held in one or more depository accounts or investment instruments in the name of the Association which are segregated from any other funds of the Agent. At the Association's specific direction, Agent will deposit monies in investments chosen by the Association. Agent shall have no liability or responsibility for the rate of interest or yield received from these investments. The depository accounts for Association operating funds shall be selected and maintained by Agent, and Agent shall deposit reserve funds in insured, liquid accounts at competitive interest rates unless otherwise directed by the Association.

4.4 Receipts. Agent shall collect, record, account for and deposit for the account of the Association the annual assessments, special assessments, fees, charges, interest and any other income or payments from unit owners or others. Agent shall maintain and reconcile on a monthly basis checking, savings, reserve and other accounts of the Association.

4.5 Disbursements. Agent shall review, approve and process bills and other payments consistent with the Association's budget and procedures adopted by the Association. Agent shall establish and monitor its internal procedures with regard to purchase order processes, data input, schedules and generation and disbursement of payable checks. The Association agrees that Agent may pay the Association's obligations by means of electronic payment methods including ePay. The Association agrees to conform to the schedules established by Agent to ensure timely payment of the Association's obligations and to permit effective auditing thereof. Agent is authorized to effect automatic payments, which will require no further action by the Association for disbursements consisting of the following: (a) taxes payable; (b) insurance premiums; (c) Agent's monthly compensation for services and expenses; (d) reimbursable payroll and benefits; (e) utilities; (f) emergencies constituting a threat to health or safety; and (g) other expenses that, if left unpaid, could adversely impact Agent's or the Association's credit worthiness. Agent shall not make any other expenditure in excess of Two Thousand Five Hundred and 00/100 Dollars ($2,500.00) without the prior written consent of the Association unless such expenditure is included in the Association's approved budget.

4.6 Collections. Agent shall arrange for the billing and collection of all assessments and other charges due to the Association. Agent shall send notices of delinquency, when necessary, pursuant to a published collections schedule approved by the Association. Legal counsel serving the Association shall handle all legal actions, including foreclosures, on behalf of the Association. Subject to the direction of the Board, Agent shall have the authority to make payment plans, and to collect reasonable fees from delinquent owners for collection letters, processing of lien documents, Conciliation Court preparation work, and other collection expenses, which include, but are not limited to, those identified in **Exhibit A** attached hereto. Although Agent agrees to use its best efforts to collect delinquent assessments, the Association agrees that Agent does not guaranty collection of such funds.

4.7 Reports. Agent shall maintain records showing all receipts and expenditures it receives and shall promptly submit to the Association on a monthly basis, within 25 days from the close of each month the following accounting information for the preceding month (or quarter, if reporting is done on a quarterly basis): (a) cash receipts and disbursements; (b) income and expense with budget comparison; (c) fund balance for operating and replacement reserves; (d) accounts payable and accounts receivable with aging schedules; (e) reconciliation of bank accounts; and (f) other financial information which may be reasonably requested by the Board.

4.8 Other Records. Agent shall retain such other records of the Association as the Association or its counsel directs, consistent with the documents retention policy set forth on **Exhibit B** attached hereto.

ARTICLE 5

INSURANCE AND INDEMNIFICATION

5.1 General.

5.1.1 The Association and Agent agree to obtain and maintain the respective insurance policies as set forth in **Exhibit C** to this Agreement. The insurance requirements set out in the following subparagraphs are independent from all other obligations of the parties to this Agreement and apply whether or not required by any other provision of the Agreement, and regardless of the enforceability of any other provisions of this Agreement. If, at any time, either party hereto allows any of its required insurance policies to lapse, the other party may immediately terminate this Agreement upon delivery of written notice to the other party.

5.1.2 Subrogation. The Association expressly waives all rights of subrogation against Agent and its "additional insureds" for damages or losses, regardless of whether or not covered by any insurance obtained by the Association or required to be obtained by the Association pursuant to this Agreement. The policies of insurance required to be carried by the Association pursuant to this Agreement shall include an express waiver of subrogation either by endorsement or policy language. The waiver of subrogation shall be effective as to a person or entity even though that person or entity would otherwise have a duty of indemnification, contractual or otherwise, did not pay the insurance premium directly or indirectly and whether or not the person or entity has an insurable interest in the property damaged.

5.1.3 The Association authorizes Agent to execute, on its behalf, all documents that relate to the purchase or renewal of authorized insurance coverages, it being expressly understood that Agent's execution of such documents does not constitute its endorsement, recommendation or confirmation of the adequacy of such policies or the coverages and limits provided for therein. The Association also grants to Agent the authority to take such actions as are necessary to maintain insurance coverages for the Association should the Board fail to timely approve the renewal of the Association's existing insurance policies so long as such policies are subject to change or modification on direction of the Board. The Association acknowledges that such policies may be subject to a cancellation fee if coverage is changed, modified or canceled after renewal by Agent.

5.1.4 Agent agrees that in procuring insurance for the Association, such insurance shall be placed with such companies, in such amounts and with such beneficial interests appearing therein as is required by the terms of the Governing Documents, the Act, or as otherwise specified by the

Association. The Association hereby authorizes Agent to collect and maintain, as necessary, all insurance information relating to current policies, certificates of insurance, named insureds, and loss histories. Agent shall deliver and maintain copies of such policies. The Association's general liability and directors' and officers' liability policies shall name Agent as an additional insured.

5.1.5 Agent shall request that an insurance broker transmitting Association insurance proposals submit quotes and related information to Agent thirty days in advance of current policy expiration in the template provided by Agent to allow for timely processing by the Agent and timely consideration by the Association. Proposals that are incomplete, or that are not received at least thirty (30) days in advance of policy expiration may not qualify for consideration.

5.1.6 The Association shall also provide Agent with insurance coverage including the Designated Agent's Endorsement, or the additional insured equivalent, for its comprehensive fidelity coverage for Agent and its employees who handle or are responsible for the safe-keeping of money or property of the Association. Agent, at its expense, shall provide general fidelity coverage for Agent and all its employees who handle or are responsible for the safe-keeping of money or property for the Association in the amount specified in **Exhibit C**.

5.1.7 Agent shall investigate all losses and claims of which it becomes aware and, where appropriate, notify the Association's insurance carrier thereof. Agent shall thereafter process and administer all claims for insurable losses covered by the Association's policies. Agent shall promptly inform the Board of all such losses that are reported to the insurance carrier.

5.1.8 Unless directed otherwise by the Board, Agent shall contract for and administer repair, restoration and reconstruction services resulting from fire or other casualty on behalf of the Association for insured losses. If the repair, restoration or reconstruction costs related to any such casualty exceed Twenty-Five Thousand and 00/100 Dollars ($25,000.00), Agent shall require an action by the Board specifically to authorize such repair, restoration or reconstruction work. Unless specifically requested by the Board, Agent is not required to solicit competitive bids for repair, restoration or reconstruction related to losses covered by the Association's insurance so long as such work is completed for the amount of the insurance proceeds together with the claim deductible paid for such loss. Notwithstanding the foregoing, in cases of emergencies requiring immediate action, the Association hereby authorizes Agent to take such emergency response action as Agent deems necessary to protect the health and safety of the Association's property and its residents, and assist insurance adjusters with damage assessments relating to such claims so they can be processed in a timely manner.

5.1.9 As stated in Section 6.4, Gittleman Construction and Maintenance Corporation ("GCMC") is a licensed general contractor that is affiliated with Agent. Agent may engage GCMC to assist with damage assessments and perform and/or oversee subcontractors responsible for completing repair, restoration or reconstruction work. The Association is under no obligation to engage GCMC to perform any services. When GCMC is engaged to perform services for the Association, however, its services will be charged for at the rates specified on its website, www.gittlemanconstruction.com.

5.1.10 On claims above $25,000, the Association or its restoration contractor are obligated to pay Agent on an hourly basis for any project coordination provided by the Agent in accordance with Exhibit A. This additional hourly fee will not be charged by Agent to the Association if GCMC is engaged by the Association to perform restoration work.

5.1.11 Agent has dry-out equipment licensing agreements with Clean Response and Paul Davis Restoration, each of which is a Preferred Emergency Response Vendor of Agent. Such equipment is invoiced at standard insurance industry rates on insured claims and in no case will represent excess or additional cost to the Association. Charges for water-remediation equipment used by either of the Preferred Emergency Response Vendors for emergency services that do not involve an insurance claim, will be discounted by 15 percent on the terms stated on the website maintained by GCMC. The Association is not obligated to use the services of the Preferred Emergency Response Vendors.

5.1.12 Agent shall assist the Association in responding to and taking action to correct any deficiencies or violations contained in a report, citation or other communication from an insurance underwriter, the Association of Fire Underwriters, or any federal, state or local governmental authority.

5.2 Agent's Insurance. Agent agrees to maintain at all times, and to provide evidence to the Association of, the insurance coverages stated on **Exhibit C**. Prior to commencement of work under this Agreement, Agent shall provide a current and original Certificate of Insurance to the Association confirming the coverages outlined herein. Upon renewal of any insurance policy required by this Agreement, Agent will, on request, supply the Association with a new original Certificate of Insurance in compliance herewith.

5.3 Indemnification.

5.3.1 Agency. The Association acknowledges the Agent is acting solely as an agent for the Association and, accordingly, any expenses or liabilities incurred by Agent hereunder, whether in its name or in the name of the Association, shall be the obligation of the Association and not that of Agent.

5.3.2 Indemnification. The Association hereby expressly agrees and understands that the Agent shall not be liable to the Association, its members, guests and invitees for any injury, loss or damage to person or property unless caused

by the Agent's gross negligence or willful misconduct. To the fullest extent of the law, the Association and its members will and do hereby agree to indemnify, save, defend and forever hold harmless Agent, its affiliated and related entities, shareholders, officers, directors, servants and employees, from any liabilities, damages, costs, penalties, fines, fees, losses, suits, demands, causes of action, judgments, obligations, claims and expenses, including but not limited to, reasonable attorneys' fees and associated costs, whether prior to trial, at trial, during mediation or arbitration, or in connection with any appeals, incurred, sustained, arising out of or connected with any injury to person or property howsoever caused, or from any matter whatsoever arising from or in connection with the Agent's performance of services hereunder, unless such liability resulted from Agent's gross negligence or willful misconduct.

5.3.3 All personal property placed or moved into or onto the Association's property or a residential unit shall be at the risk of the Association or the owner of the personal property, as the case may be. Agent shall not be liable to the Association or others for any damage or injury to person or property, real or personal, arising from theft, vandalism, HVAC malfunction, the bursting or leaking of water pipes, the presence of mold, mildew or any pollutant, or any act or omission of a unit owner or occupant of the property or of any other person. The foregoing will not relieve Agent, however, of liability for damage or injury resulting solely from Agent's gross negligence or willful misconduct.

ARTICLE 6

COMPENSATION OF AGENT

Association shall pay Agent as compensation for its services hereunder as follows:

6.1 Base Compensation. Association shall pay to Agent as compensation for its basic services hereunder the monthly sum of $2,090, which amounts to $25,080 per year, during the first year of the term of this Agreement (the "Base Compensation"). The Base Compensation for a second or subsequent year shall increase as stated in the Association's approved annual budget. Compensation to be paid for any renewal term of this Agreement will be negotiated and mutually agreed upon by the Association and Agent in writing. The Base Compensation due to the Agent will be paid promptly on the fifth day of each month. The Association hereby authorizes Agent to directly debit the Association's bank account on the fifth of each month to pay Agent's Base Compensation and to pay other costs and expenses owed to Agent when and as they become due.

6.2 Other Compensation. The Association shall promptly reimburse Agent for (a) all costs associated with any approved payroll, pursuant to Section 2.8.5.1, directly allocable to the Association, including all taxes and benefits applicable to them; (b) all advances made by Agent for the benefit of the Association, and Association hereby authorizes Agent to directly debit Association's bank account for such other costs and reimbursed expenses owed to Agent when and as they become due; and (c) the expenses, fees and charges, set forth on **Exhibit A** and made a part hereof.

6.3 Taxes. If Agent shall be required by law to collect or pay sales tax on any fees payable to Agent hereunder, the amount of such sales tax shall be charged to and paid by the Association.

6.4 Affiliates of Agent. The Association acknowledges that affiliates of Agent may receive compensation from the Association for services rendered to the Association. In all such instances, the Association, in its sole discretion, shall retain the right to direct Agent to select unaffiliated service providers.

6.4.1 As stated in the Exhibit A and Section 5.1.8, GCMC may be engaged by the Association to provide services relating to maintenance, repair, restoration or construction.

6.4.2 FirstService Financial, Inc., including its subsidiary, FS Insurance Brokers, Inc., is an affiliate of Agent and a subsidiary of FirstService Corporation that was formed for the purpose of aggregating FirstService Corporation's managed properties located throughout North America. FirstService Financial develops banking and insurance programs that are offered exclusively to clients of Agent and its affiliates. FirstService Financial may receive fees or commissions from its banking and insurance partners for its assistance with the development, placement, servicing and maintenance of these programs.

ARTICLE 7

TERMINATION

This Agreement shall be subject to termination under the following circumstances:

7.1 Election Not to Renew. As specified in Section 1.2 above, this Agreement shall terminate at the election of either the Association or Agent upon providing the other with at least ninety (90) days' advance written notice of the election to terminate prior to expiration of the current term.

7.2 Termination for Default. This Agreement may be terminated by the Association in the event that Agent is found to be in default and Agent fails to cure the default as provided herein. In the event of a default, the Association, through its Board, shall notify Agent in writing of the default, and Agent shall have sixty (60) days to cure the default. If Agent fails to cure the default, and the default is of such a nature that cure is in the control of Agent, the Association may terminate this Agreement and the termination shall be effective immediately upon receipt of such notice by Agent.

7.3 Transition After Termination. Upon notice of termination, Agent shall prepare for an orderly transition of responsibilities and records in accordance with the instructions of the Association. Upon receipt of the request, Agent shall make available to the Association for inspection all books and records of the Association in Agent's possession, which material shall be available for turnover to the Association as of the termination date. Association shall bear the costs associated with scanning or photocopying material for transmittal of records or retention by Agent.

7.4 Payment to Vendors. All sums due to Agent and all contractors, vendors or other service agents procured by Agent on behalf of the Association shall be paid in full as of the date of termination. If there are insufficient funds available to Agent fully to discharge all such liabilities, the termination date may, at the option of Agent, be extended until such funds are available. If the Association disputes any such bills or charges, sufficient funds of the Association shall be deposited in an escrow account established for the joint control of the Association and Agent, pending resolution of the dispute. The Association agrees to bear full responsibility to the provider of such goods or services and shall have full responsibility for the cost of any litigation resulting therefrom.

7.5 No Further Expenses. From and after the notice of termination, Agent shall not incur any expenses or obligations on behalf of the Association unless specifically directed to do so by the Association or for any payments or reimbursements of previously approved obligations.

7.6. Final Accounting. Agent shall, at no cost to the Association, prepare a final detailed accounting as of the date of termination, which accounting will be provided to the Association together with any unclaimed books and records of the Association as soon as practical, but in any case no later than forty-five (45) days after the date of termination. Thereafter, Agent agrees to cooperate with the Association's auditors regarding any financial or tax audits.

ARTICLE 8

EXCLUDED SERVICES

Agent is devoted to provide the Association with such advice, administration and property management assistance as it may require with respect to the effective operation of the Association's property. Certain requested activities may, however, require extraordinary time commitments or expertise outside the scope of the parties' reasonable intentions. Such services, compensation for which is not included in Base Compensation, may include, without limitation:

8.1 Litigation Support. At the request of the Association or its counsel, Agent will prepare, provide assistance to, and appear in court for litigation involving the Association. Compensation for such actions, including preparation and appearances, will be paid by the Association to Agent at the rate of One Hundred Dollars ($100.00) per hour. Agent may, upon the express direction of the Board, engage attorneys to institute and prosecute or defend such actions; to sue for and in the name of the Association, and recover assessments and other sums due; enforce legal rights or actions available to the Association; and, with the concurrence of the Board, settle, compromise and release such actions or suits. In all cases, Agent shall assist the Association in any and all legal matters and shall promptly, after Agent receives notice of such actions or proceedings, provide notice thereof to the Association.

8.2 Revisions of the Governing Documents, including work with the Board, committees and legal counsel.

8.3 Processing, supervision and negotiation of warranty claims from original construction or resulting from work performed prior to the inception of Agent's management.

8.4. Consulting, administration and approval requirements of agencies providing financing to members of the Association, including FHA, Fannie Mae and HUD.

8.5 Preparation and production of reserve studies, capital improvement schedules and statutorily-required property maintenance plans that require professional expertise outside of property management based on generally accepted industry standards.

8.6 Performing utility and energy consumption and conservation studies, audits and improvements or directly purchasing or providing advice on purchasing unregulated utilities such as gas futures.

8.7 Planning, management and coordination of capital replacement projects and insurance restoration projects over $25,000.

8.8 If the Association requests, and Agent agrees, to provide such additional or expanded services beyond those identified in this Agreement, the compensation for such services shall be as otherwise noted in the Agreement, specified in **Exhibit A**, or set by mutual agreement.

ARTICLE 9

ADDITIONAL PROVISIONS

9.1 Entire Agreement; Binding Effect. This Agreement shall constitute the entire Agreement between the Association and Agent, and no variance or modification shall be valid and enforceable except in writing and signed by both parties. Any change in this Agreement that may affect the Agent's duties and responsibilities, as defined herein, shall require prior written approval by Agent. Should any part, term, or provision of this Agreement be declared or decided by any court to be invalid or in conflict with the law, the validity of the remaining portion, terms, or provisions shall not be affected thereby, and the remainder of the Agreement shall continue in full force and effect. This Agreement shall bind and inure to the benefit of the Association and Agent and their permitted successors and assigns.

9.2 Governing Law; Venue; Attorneys' Fees. This Agreement shall be governed by the laws of the State of Minnesota. In the event of any dispute in relation to this Agreement, the matter will be venued in the state district court of the county in which the property is located. In the event it becomes necessary for either party to file suit to enforce its rights under this Agreement, the prevailing party shall be entitled to recover, in addition to all other remedies or damages, such attorneys' fees and costs incurred therein as are awarded by the court.

9.3 Notices. All notices required hereunder shall be effective when delivered by hand, or when received by certified or registered mail, addressed to the parties as follows:

If to the Association: _____
_____
_____

If to the Agent: Mark Gittleman, President
FirstService Residential Minnesota, Inc.
1801 American Boulevard East, Suite 21
Bloomington, MN 55425

9.4 Execution and Counterparts. This Agreement may be executed in counterparts, each of which shall be deemed an original and together shall constitute one in the same instrument.

[Signature Page Follows]

Executed by the parties as of the dates set forth below.

Dated: 11·20, 17

ASSOCIATION:

Summerhill Association

By: MARLENE HULKE
Name: Marlene Hulke
Title: President

Dated: November 15, 2017

AGENT:

FIRSTSERVICE RESIDENTIAL MINNESOTA, INC.

By: [signature]
Name: Michael E. Cleary, PCAM
Title: Vice President, Community Management

[Signature Page to Management Agreement]

EXHIBIT A

2017 ADDENDUM TO MANAGEMENT CONTRACT

Summary of Frequent Reimbursable Expenses

a. Copies: $0.20 per black and white copy; $0.75 per color copy
b. Scanning: $0.20 each
c. Mailing labels: $0.06 each
d. All envelopes (except specialty): $0.10
e. Association record storage: $25 per box per year
f. Website monthly fee: under 100 units/$20; 100-150 units/$25; 150 units plus/$30
g. Broadcast voice messaging or SMS/text messaging to members: $0.15/call or message/unit
h. Billing statements: $0.51 per hard copy statement plus postage at cost; $0.35 per electronic statement for homeowners who do not use ACH/Direct Debit
i. Violation letters: $5

Summary of Agent Compensation for Additional Services

a. Services by Agent for Board meetings outside the scope of the Agreement for warranty work, lawsuits involving the Association, Governing Documents revisions, and insurance restoration coordination; $100 per hour
b. Administrative assistance at annual and special member and board meetings (if requested in addition to Association Manager); $50 per hour
c. Assistance with insurance claims above $25,000 as specified in Section 5.1.9; $100 per hour.
d. Attendance at meetings outside the scope provided in Section 2.2; $100 per hour.
e. Rates for on-site staff fill-in coverage (per Section 2.8.4.5)

Desk Attendants;	$20/hour
Resident Caretakers/Housekeeping;	$25/hour
On-Site Community Managers/Office	$30/hour

f. FHA approval processing if requested $655

Charges Directly to Homeowners

FirstService Residential charges sellers/buyers the following fees:

a.	Disclosure Package	$170
b.	Disclosure Package Update	$ 70
c.	Mortgage Questionnaire - Standard	$120
d.	Mortgage Questionnaire - Lender Form	$170
e.	Dues Current Letters to Title Companies	$120
f.	New Homeowner Set-Up Fee	$ 75

FirstService Residential charges sellers additional fees for "rush requests" for disclosures, mortgage questionnaires, and dues current letters, and for *á la carte* documents requested separate from or in addition to standard packages noted above. These fees are listed on our WelcomeLink

web portal at https://secure.welcomelink.com/resale/index.cfm?mg=GT. Sellers may download standard documents available on the Association's website at no expense.

Collections: FirstService Residential charges the following collections fees to delinquent homeowners (not the Association) and only collects such fees when the homeowner pays the fee:

a.	Demand Letters	$ 30
b.	Preparation for Drafting Lien Documents	$ 35
c.	Recording Lien Documents	$ 35
d.	Advising to Schedule Association Sheriff's Sale	$150
e.	Advising to File Conciliation/District Court Action	$100
f.	Confession of Judgment	$ 75
g.	Negotiate Settlements	$ 75
h.	Monthly Monitoring/Updating Fee	$ 10
i.	Assignment of Lien/Interest	$100

Agent's Settlement Authority: Unless otherwise instructed, Agent's collections department has the authority to approve payment plans for up to six months in term (in equal monthly installments, in addition to the current monthly assessments throughout the term).

Collection Fees: Collection fees earned by the Agent will be paid by the Association in the following two situations:

a. When the Board approves the removal of any validly charged collection fees; and
b. When the Board accepts a settlement payment for less than the full balance due on the account.

Sheriff's Sale Collection Fee: Sheriff's sale collection fee, as noted above, currently amount to $150 and are paid to the Agent regardless of whether the unit owner remits payment or redeems from the pending sheriff's sale or lien foreclosure action.

Additional Collection Fees: Additional collection fees that are earned by and payable to Agent include (a) a $25 payment plan collection fee for payment plans two to six months in length; and (b) a $50 payment plan collection fee for payment plans with terms in excess of six months.

Background Checks: If clients wish to have standardized background checks, we charge a fee to prospective tenants of $75 which includes a seven (7) county background check.

Charges from Gittleman Construction & Maintenance Corporation

The current schedule of charges for services performed by Gittleman Construction & Maintenance Corporation, an affiliate of FirstService Residential, is available on its website, www.gittlemanconstruction.com. The Association has no obligation to utilize the services of Gittleman Construction and Maintenance.

Note: The expenses listed in this addendum do not change frequently but may change with a 30-day advance notice to the Board of Directors.

EXHIBIT B

DIGITAL RECORD RETENTION POLICIES

Agent prepares, distributes, retrieves, makes available and stores information related to the Association. The following Policy describes records that are kept by Agent on behalf of the Association and their disposition:

1. **Records**

Agent will retain a set of files and records as developed by the Association. These files and records will include those generated during the term of the Agreement, as well as the documents developed prior to Agent's engagement, which are made available to Agent. The accuracy and completeness of records provided to the Agent cannot be guaranteed or assured. Among the books and records that are maintained by Agent during the period of the Agreement include:

(a) The Association's Governing Documents;

(b) Current owner listing;

(c) Financial statements, tax returns, bank account statements, collection records, general ledger and disbursement journals with retention duration minimums required by the Internal Revenue Service and generally accepted accounting principles;

(d) Agendas, management reports and minutes of Board of Directors and Member Meetings;

(e) Executed contracts to which the Association is a party, and final drawings and specifications for Association projects as provided to Agent;

(f) CIC plats and architectural drawings as provided to Agent;

(g) Replacement reserve studies;

(h) Communications to Boards of Directors and residents through FSR CONNECT™;

(i) Communications with governmental authorities regarding the Association including inspection reports, permits and licenses; and

(j) Attorney, accountant and other consultant files regarding the Association.

If Agent is requested to store Association paper records, the cost per box is stated on **Exhibit A**. Records are made available to the Association upon request, and copies will be prepared by Agent for the personnel and other expenses associated with any such request in accordance with the charges stated in **Exhibit A**. Paper documents in the possession of Agent will be made available to the Association on termination of the Agreement.

3. Digital Records

Agent also maintains documents in a digital format including archives of all e-mail transmittals to the Board and homeowners through the MassCom e-mail function. These records are maintained as long as the Agreement remains in effect. All official records such as minutes, financial reports and audits are maintained in a data warehouse environment as long as Agent is the management company of the Association. All other e-mail records are subject to deletion by Agent.

EXHIBIT C

INSURANCE COVERAGE

1. By the Association. The Association hereby agrees to maintain at all times and to provide evidence of the insurance described in this Section 1 of this Exhibit. Coverage for Agent as an insured shall apply as non-contributing insurance before any other insurance or self-insurance, including any deductible or retention maintained by or provided to Agent:

   A. Commercial General Liability Insurance covering all premises and operations, including and with limits no less than: (1) $1,000,000 each occurrence for bodily injury, property damage and personal and advertising injury; (2) $2,000,000 general aggregate; (3) $1,000,000 products and completed operations; (4) $1,000,000 non-owned and hired auto liability; (5) coverage must include contractual liability; (6) assault and battery covered as a regular occurrence; (7) "your real estate manager" within the definition of "Insured" in the policy language; and (8) Agent's "affiliated or related entities, directors, members, officers, employees, servants and agents" shall be specifically designated as "definitional insureds" and as "additional insureds" using ISO Additional Insured Endorsement CG 20 26 11 85 or endorsements providing equivalent or broader coverage to the additional insureds.

   B. Directors' and Officers'/Employment Practices Liability Insurance, including and with limits no less than: (1) $1,000,000 per claim and aggregate applicable to the D&O coverage section, (2) $1,000,000 per claim and aggregate applicable to the third-party EPL coverage section, (3) retroactive date back to the inception date of the Association or coverage for full prior acts, and (4) Agent as "property manager" must be included within the policy's definition of "insured" to the extent acting on behalf of the Association pursuant to the terms of this Agreement.

   C. Workers' Compensation Insurance according to state statutory limits covering all employees, subcontractors, or volunteers of the Association, with employers' liability with limits no less than: (1) $500,000 each accident for bodily injury; (2) $500,000 each employee for bodily injury caused by disease; and (3) $500,000 bodily injury caused by disease. Said policy shall be endorsed to include a waiver of subrogation in favor of Agent and the "additional insureds" as identified in Section H below.

   D. Umbrella or Excess Liability Insurance, including and with limits no less than: (1) $5,000,000 each occurrence and aggregate; and (2) providing follow-form coverage sitting over the Association's General Liability, Directors' and Officers'/Employment Practices Liability and Employers' Liability policies ; and (3) coverage for additional insureds shall be primary before any other insurance or self-insurance, including any deductible maintained by or provided to the additional insured other than the Commercial General Liability, Directors' and Officers'/Employment Practices Liability and Employer's Liability coverages maintained by the Association.

E. Fidelity Insurance written on a "discovery form" basis (and not on a "loss sustained" form) with a policy limit of no less than the higher of the amount stated in the Association's Governing Documents or the minimum amount as may be required by the Act or any regulatory requirements. Agent shall be named as a definitional insured in the fidelity insurance policy.

F. Cyber liability insurance coverage (CLIC), with a policy limit of no less than $500,000 to cover liability for a data breach in which personal information of the unit owners or residents of the Association or any personal information of employees, customers or vendors of the Association or of Agent, is exposed or stolen by a hacker or other unauthorized person who has gained access to the electronic network and data of the Association (if any) or of Agent, with respect to records and data relating to the Community. Agent as "property manager" must be included within the CLIC policy's definition of "insured" to the extent acting on behalf of the Association pursuant to the terms of this Agreement. The policy will be in form and substance satisfactory to Agent and will cover expenses associated with data breaches, including: notification costs, credit monitoring, costs to defend claims by governmental regulators, fines and penalties, and loss resulting from identity theft, as well as: (i) network and information security liability, (ii) communications and media liability, (iii) regulatory defense expenses, (iv) crisis management event expenses, (v) security breach remediation and notification expenses, (vi) computer program and electronic data restoration expenses, (vii) computer fraud, (viii) funds transfer fraud, (ix) e-commerce extortion and, (x) business interruption and extra expenses .

G. To the extent reasonably available, all insurance carriers must be rated A IX or better by A.M. Best Company or Substantial or better by Demotech, and must be licensed or authorized to do business in the state of Minnesota.

H. Prior to the commencement of work under this Agreement, the Association shall provide a current and original certificate of insurance providing evidence of the aforementioned insurance requirements. A copy of the definitional insured endorsement to the Commercial General Liability policy indicated in Section A above shall be appended to the certificate of insurance. The Association and Agent agree that no work shall commence under the terms of this Agreement until the original Certificate of Insurance is received and approved by Agent. The Association will supply Agent with an original Certificate of Insurance showing evidence of renewal coverage in compliance with the terms of this Agreement.

2. By Agent. Agent hereby agrees to maintain at all times and to provide evidence of the following insurance coverages:

A. Commercial General Liability Insurance, including and with limits no less than: (1) $1,000,000 each occurrence for bodily injury and property damage; (2) $2,000,000 general aggregate; (3) no less than $1,000,000.00 personal and advertising injury; (4) $1,000,000 products and completed operations; and (5) contractual liability coverage.

B. Commercial Auto Liability Insurance, including and with limits no less than: (1) $1,000,000 combined single limit and (2) $1,000,000 non-owned and hired automobile liability.

C. Workers' Compensation Insurance according to state statutory limits covering all employees or subcontractors of Agent, with employers' liability including and with limits no less than: (1) $500,000 each accident for bodily injury, (2) $500,000 each employee for bodily injury caused by disease, and (3) $500,000 bodily injury caused by disease.

D. Umbrella or Excess Liability Insurance, including and with limits no less than: (1) $5,000,000 each occurrence and aggregate and (2) providing follow-form coverage over the General Liability and Employers' Liability policies.

E. Fidelity coverage of at least $5,000,000.

F. Upon the request of the Association, Agent will provide evidence of insurance prior to the commencement of work under this Agreement.